EXAMPLE 1

ASSETS TEST

Value of Margaret's assets = \$500,000

Adjustment to fortnightly pension

$$= \frac{\$500{,}000 - \$192{,}000}{1000} \times \$1.50$$

$$= \$461.25$$

Her fortnightly pension based on **ASSETS TEST** $= \$772.60 - \$461.25$

$$= \underline{\$311.35}$$

INCOME TEST

Income from assets.

Margaret has \$320,000 worth of income producing assets. The assets are deemed to produce an income of 4% p.a. (Deeming rate)

Margaret's fortnightly income based on asset

$$= (\$320{,}000 \times 4\%)/26$$

$$= \$492.31$$

EMPLOYMENT

Margaret's income from employment = \$150 (fortnightly)

since \$150 < \$250, this amount will not be included in the income test.

Margaret's fortnightly income = \$492.31

This is over the income limit of \$152.00

Her pension $= \$772.60 - (\$492.31 - \$152)\,0.5$

$$= \$772.60 - \$170.16$$

$$= \underline{\$602.45}$$ **(INCOME TEST)**

Margaret's pension will be the lesser of the two amounts.

Therefore she will be paid \$311.35 per fortnightly.

Her pension will be \$311 per fortnight (rounded to the nearest dollar)

Example 2

ASSETS TEST

Since John is not a homeowner, the assets limit = $332,000. He has assets worth $150,000. Since $150,000 < $332000, John can have the full pension of $772.60 based on **ASSETS TEST**

INCOME TEST

Income from Assets

John's income producing assets are worth $80,000. The deeming rate is 4% p.a.

His fortnightly income based on assets
= ($80,000 × 4%)/26

= $123.08

Employment

He has no income from employment

Therefore his fortnightly income = $123.08

The limit for single is $152 and $123.08 is less.

Therefore, John will be paid the full pension of $772.60 based on **INCOME TEST**

John will receive the full pension of $772.60.

Example 5

Assets Test:

The value of Mr. & Mrs. White's assets = \$425,000.
Since this is above the assets limit, their pensions have to be adjusted.

$$\text{Fortnightly pension} = \$582.40 - \left[\frac{\$425{,}000 - \$273{,}000}{\$1000} \times \$0.75\right]$$

$$= \$582.40 - \$114$$

$$= \$468.40 \quad \text{(per person)}$$

Income Test:

Assets: They have \$298,000 worth of income producing assets and the deeming rate is 4% p.a.
Their income for their assets = $(\$298{,}000 * 4\%)/26 = \$458.46$ (fortnightly)

Employment: They fortnightly income is \$200 per person. (< \$250 work bonus, not included)

$$\text{Fortnightly pension} = \$1164.80 - \$0.50(\$458.46 - \$268.00)$$

$$= \$1069.57$$

They should get \$534.79 per person based on Income test.

Since the adjusted pension based on assets test is \$468.40 which is less than \$534.79, Mrs White will get \$468.40 as her pension per fortnight

Example 4

Assets Test

The value of Mr. & Mrs. Brown's assets = $285,000. Since they are not home owners, the assets limit = $412,500. Their assets value is less than the limit. Based on the assets test, they should receive the full pension of $582.40 per fortnight for each of them.

Income Test

Assets: They have $200,000 worth of income producing assets. The deeming rate is 4% p.a.
Therefore the fortnightly income based on assets
= ($200,000 * 4%)/26 = $307.69

Employment: Mr. Brown earn $400 per fortnight. This is > $250. Therefore their fortnightly income included in the income test = $400 − $250 = $150.
[Mrs. Brown − $200/fortnight < $250, not included]

Their total fortnightly income = $307.69 + $150 = $457.69

Their pension = $1164.80 − ($457.69 − $268) $0.50 = $1069.96

Each one will therefore get a pension of $534.98 per fortnight (lesser amount)

Their combined fortnightly pension = $534.98 × 2 = $1069.96 (nearest $)